HOW DO PARENTAL SOCIOECONOMIC RESOURCES SHAPE CHILDREN'S OCCUPATIONAL OUTCOMES? A QUANTILE-BASED ANALYSIS USING CFPS (2010–2022)

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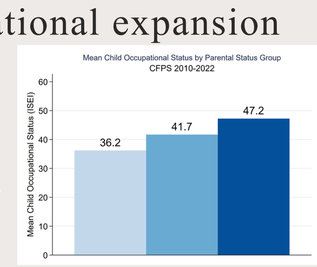
Intro

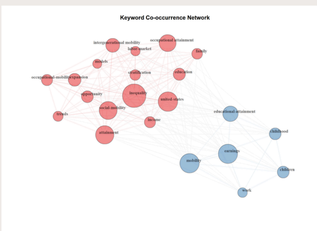
- Intergenerational mobility remains a central issue in social inequality research.
- In China, family background may continue to shape children's occupational outcomes despite educational expansion and economic change.
- Prior studies mainly examine average effects and pay less attention to differences across the distribution.

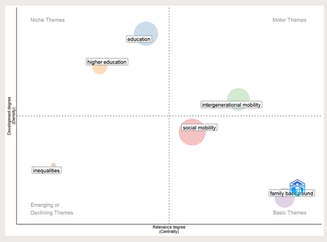


Literature Review

Parental socioeconomic status plays a crucial role in shaping children's educational and occupational outcomes, contributing to persistent intergenerational inequality (Blau & Duncan, 1967).
Existing research shows that this influence operates through multiple channels, including education (human capital), occupation and networks (social capital), and family income (financial resources) (Becker, 1964).
Recent studies further highlight that these effects are heterogeneous, with stronger impacts at the top of the outcome distribution (Firpo et al., 2018).

Bibliometric Research





Theory & Hypothesis

This study draws on intergenerational mobility, human capital, and social stratification theories. Parents shape children's labor-market outcomes via education, occupation, and financial resources, which together influence skills, aspirations, and career attainment.

1. Educational Transmission
   - Parents' education enhances children's cognitive/non-cognitive skills, learning strategies, and academic expectations.
   - Higher parental education → higher children's educational attainment → access to prestigious occupations.

Hypothesis 1: Parental education positively affects children's occupational outcomes.

2. Occupational Status & Social Capital
   - Parents in high-status jobs transmit occupation-specific knowledge, provide career guidance, and access to networks.
   - Children adopt occupational norms through role modeling, reinforcing intergenerational persistence.

Hypothesis 2: Parental occupational status (ISEI) is positively associated with children's occupational prestige.

3. Financial Capital
   - Higher family income allows better education, extracurriculars, internships, and delayed labor-market entry.
   - Reduces credit constraints that limit skill accumulation for low-income children.

Hypothesis 3: Higher family income leads to better occupational outcomes for children.

Thus we assuem a Theoretical Mechanism like

Parental socioeconomic status affects children's occupational attainment through both educational and direct channels.

$$E_i = \alpha_0 + \alpha_1 P_i + X_{i'}\alpha_2 + u_i$$

$$O_i = \beta_0 + \beta_1 E_i + \beta_2 P_i + X_{i'}\beta_3 + \varepsilon_i$$

By substitution, the total effect of parental socioeconomic status on occupational attainment is:

$$d\frac{O_i}{d}P_i = \beta_1\alpha_1 + \beta_2$$

- Indirect effect (through education): $\beta_1\alpha_1$
- Direct effect (net of education): β_2

Notation:

- P_i: parental socioeconomic status (SES) of individual i
- E_i: educational attainment of individual i
- O_i: occupational attainment/status of individual i
- X_i: vector of control variables
- α_0, β_0: intercept terms
- α_1: effect of parental SES on education
- β_1: return to education in occupational attainment
- β_2: direct effect of parental SES on occupation, conditional on education
- α_2, β_3: coefficients on control variables
- u_i: unobserved determinants of education
- ε_i: unobserved determinants of occupational attainment
- i: individual index

Data

Data Source
China Family Panel Studies (CFPS)

Dependent Variable
Child's Occupational Status (ISEI)

Independent Variables
Education,ISEI,Income

Control Variables
Child's age, gender, urban/rural residence, Province

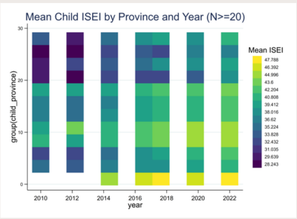


Table 1. Descriptive Statistics

	Mean	SD	Min	Max	N
Child ISEI	39.059	15.239	12.000	88.000	8095
Parent SES (PCA)	0.005	1.461	-2.895	8.466	8095
Father ISEI	29.927	12.671	12.000	88.000	8095
Mother ISEI	27.657	10.717	12.000	88.000	8095
Father education	7.293	4.172	0.000	19.000	8095
Mother education	4.806	4.588	0.000	19.000	8095
Any parent CPC	0.251	0.434	0.000	1.000	8095
Male	0.690	0.463	0.000	1.000	8095
Age	28.045	6.645	14.000	71.000	8095
Urban	0.443	0.497	0.000	1.000	8095

Empirical Result

Baseline Regression Models

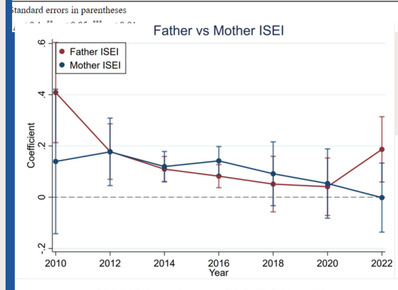
Child_Occupationi = β_0 + β_1Parental_SESi + β_2Controlsi + Province_FE + Year_FE + εi

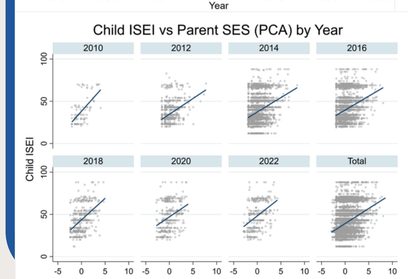
Table 2. Child ISEI on Parent SES (PCA)

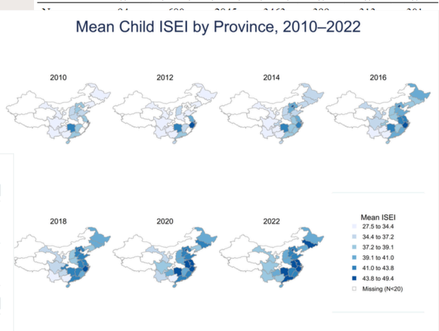
	(1) 2010	(2) 2012	(3) 2014	(4) 2016	(5) 2018	(6) 2020	(7) 2022
parent_ses_pca	7.252***	2.811***	2.792***	2.507***	3.406***	2.842***	3.006***
	(1.287)	(0.371)	(0.190)	(0.174)	(0.569)	(0.662)	(0.649)
N	94	680	2845	3463	399	313	301
2	0.610	0.265	0.185	0.190	0.350	0.300	0.342

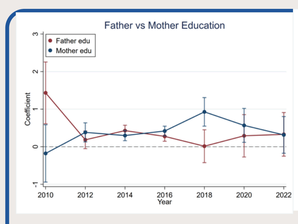
Standard errors in parentheses

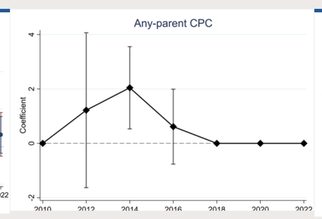
	2010	2012	2014	2016	2018	2020	2022
f_isei	0.408***	0.178***	0.110***	0.082***	0.051	0.041	0.187***
	(0.100)	(0.055)	(0.025)	(0.023)	(0.055)	(0.057)	(0.065)
m_isei	0.139	0.177***	0.120***	0.142***	0.092	0.053	-0.002
	(0.144)	(0.067)	(0.030)	(0.029)	(0.064)	(0.069)	(0.069)
f_edu	1.434***	0.183	0.428***	0.275***	0.013	0.290	0.329
	(0.419)	(0.120)	(0.073)	(0.066)	(0.223)	(0.288)	(0.296)
m_edu	-0.179	0.382***	0.297***	0.418***	0.928***	0.567**	0.314
	(0.389)	(0.129)	(0.070)	(0.066)	(0.194)	(0.230)	(0.249)
parent_party_any	0.000	1.219	2.044***	0.614	0.000	0.000	0.000
	(.)	(1.452)	(0.771)	(0.703)	(.)	(.)	(.)

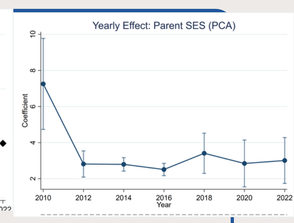


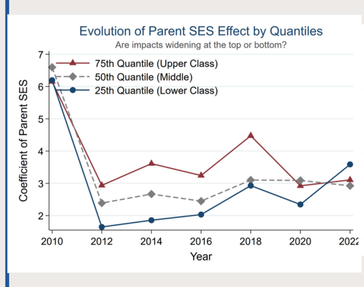








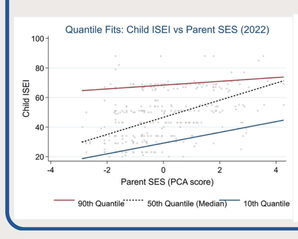


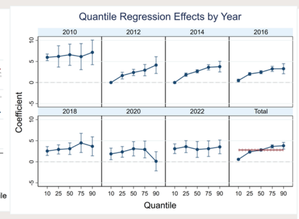


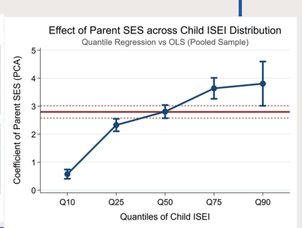
Effect of Parent SES on Child ISEI: OLS and Quantile Regressions

	(1) OLS	(2) Q10	(3) Q25	(4) Q50	(5) Q75	(6) Q90
Parent SES (PCA)	3.569***	0.251***	3.068***	4.197***	4.571***	4.106***
	(0.104)	(0.058)	(0.105)	(0.131)	(0.175)	(0.439)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Province FE	Yes	Yes	Yes	Yes	Yes	Yes
N	8,487	8,487	8,487	8,487	8,487	8,487

Dependent variable: Child ISEI. All models include child-level controls. Robust significance: * p<0.10,







Robust Check

Validity: Alternative occupational measures confirm parental SES significantly reduces children's entry into unskilled labor, validating SES as a structural prerequisite.
Heterogeneity: Effects are stronger in urban areas (hukou filter) and for girls (strategic investment), reflecting institutional and cultural specificities.
Stability: Results remain robust after excluding elites, controlling for family income, and across time periods, confirming structural persistence.

Conclusion

Core Conclusion: China's intergenerational mobility is institutionalized; parental SES effects persist structurally despite policy interventions.